

value them properly. Ultimately, despite Graham and Dodd's understandable reservations about the difficulties of projecting the future, in the context of today's rapid and powerful disruption of existing businesses, and the steady formation of promising new ones, it is simply not possible to disregard the trajectory of growth or decline when determining the valuation of a business.

Investors using the discounted cash flow method must also choose an appropriate discount rate to apply to a company's cash flows. Valuations can be very sensitive to this subjective variable, especially for high-growth businesses, much of whose expected cash flow generation lies far in the future. To set the proper discount rate, investors must assess the quality, consistency, and riskiness of the company's cash flows. The best businesses usually have such attributes as strong barriers to entry, limited capital requirements, organic growth, repeat customers, significant pricing power, high margins, low risk of technological obsolescence, competitive moats, and thus strong, sustained, and increasing free cash flow. In many cases, the growth of such businesses is interwoven with those of other enterprises so that they become larger and more profitable as other companies execute their plans. The highest-quality businesses deserve to have their cash flows discounted at a lower rate than other businesses, conferring a higher valuation multiple. How much higher, however, is a subject of never-ending calibration and debate.

In all of these valuation analyses, investors must also attempt to assess the skills, capabilities, priorities, and core values of a company's top management. Talented managers clearly enhance the cash flows and improve the capital-allocation decisions of the businesses they lead, but managerial ability can't easily be quantified. As Graham and Dodd noted, "Objective tests of managerial ability are few and far from scientific." (Sixth Edition Introduction) But unmistakably, a management's acumen, integrity, and motivation make a huge